

Investment Credit Memorandum

Kingswood CLO 2024-1 | Kingswood Academies | 4 March 2024

1. Recommendation

Credit committee is asked to approve a \$6,300,000 allocation of the Kingswood Academies first-lien term loan into the Kingswood CLO 2024-1 warehouse, and to roll that position into the CLO at closing. The borrower is Kingswood Academies, headquartered in Philadelphia. The financial sponsor is Lantern Hospitality. Analyst: Samuel Ortiz. Committee chair: Claire Fontaine. Portfolio manager: Wei Nakamura, Crestview CLO Advisors LLC.

Recommendation: Approve at a maximum par of \$6,300,000 (1.58% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Kingswood CLO 2024-1 indenture. Moody's corporate family rating is B2. S&P issuer credit rating is B. The loan is US dollar denominated and is eligible collateral under the term sheet dated 12 March 2024.

2. Borrower and sponsor

Kingswood Academies operates in Services. The company is owned by Lantern Hospitality. Neither the sponsor nor the borrower is affiliated with Crestview CLO Advisors LLC.

Related book names in Kingswood CLO 2024-1 include Liberty Bridge Steel, Schuylkill Water Co.. Those names are separate obligors and should not be aggregated for the single obligor test.

3. Facility terms

Instrument: Kingswood Academies first-lien term loan. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. Summit National Bank is the warehouse lender to Kingswood CLO 2024-1.

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4. Credit highlights and risks

Highlights: sponsor support from Lantern Hospitality, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclicity in Services and add-on acquisition risk. Samuel Ortiz confirmed that Moody's industry classification for Kingswood Academies is 'Services'.

5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated B2. It uses 1.58 of the 2.00 percentage-point largest-obligor covenant. Wei Nakamura confirmed the trade for Kingswood CLO 2024-1.

If Kingswood Academies is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Kingswood CLO 2024-1 indenture. Citibank, N.A. would reflect that classification on the next monthly trustee report. Crestview CLO Advisors LLC would then evaluate a sale during the reinvestment period.

6. Committee decision

Credit committee of Crestview CLO Advisors LLC approved the \$6,300,000 purchase for the Kingswood CLO 2024-1 warehouse on 4 March 2024. Voting members: Claire Fontaine (chair), Wei Nakamura, and Samuel Ortiz. The trade will settle into the Summit National Bank warehouse and be conveyed to Kingswood CLO 2024-1, Ltd. on the closing date of 28 March 2024.